HOW INCLUSIVE BRANDS FUEL GROWTH



TEAM 3

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SUSTAINABLE BRANDS AND PRODUCTS



INCLUSION & CONSUMER BEHAVIOR

Customers are more likely to:

- purchase from brands they feel represented by
- recommend brands they perceive inclusive

Perceived inclusion strongly influences purchase decisions for

87%	61%	63%	38%
Nonbinary	Black & Plus size	Gen Z	White

Yet, an analysis of the worlds 50 most valuable brands showed a bias toward

Lighter skin
Smaller bodies
Straight hair
No visible disabilities

Inclusive brands succeed by embedding inclusion into:

- Market intelligence
- Customer segmentation
- Product development
- Packaging and commercialization
- Customer experience
- Corporate advocacy

INCLUSIVITY IN ACTION

In 2016, Mattel expanded Barbie diversity after extensive consumer research:

- More skin tones, eye colors, and hair types
- Diverse dolls placed prominently rather than marginalized on lower shelves





- A Hispanic red-haired Barbie became a top seller, revealing previously underserved demand.
- Barbie revenue increased 63% from 2015–2022, before the film release.

Inclusion was not just social positioning, it unlocked new customer segments and increased market relevance.

EVIDENCE-BASED INSIGHTS AND KEY OBSERVATIONS

Brands that successfully operationalised inclusion to achieve exponentional growth

1. Representation Alone Is Not Enough
- Diversity in advertising must align with actual product functionality.
- Brands succeed when products are designed for underrepresented consumer needs.

2. Inclusion Creates Market Growth
- Inclusive strategies unlock overlooked customer segments and drive revenue growth.
- Moving beyond traditional beauty and identity standards increases brand relevance.

3. Inclusive Research Improves Market Understanding
- Brands need representative data to identify underserved consumers.
- Inclusion must also exist within research and decision-making processes.

4. Inclusion Requires Conflict Management
- Inclusive branding can create resistance from certain customer groups.
- Brands must prepare strategies to manage social and consumer backlash.

5. Inclusive Brands Influence Entire Industries
- Leading companies use their platforms to promote broader representation standards.
- Inclusion can extend beyond products into industry-wide practices and accessibility.

XBOX

BEVEL

MATTEL

FB

SEPHORA

FENTY BEAUTY
BY RIHANNA

milk pep

NIKE

TARGET

DELTA
AIR LINES

THE PARADIGM SHIFT : THE INCLUSION STRATEGY AND FRAMEWORK

EXCLUSIVITY PARADIGM



Forcing one cultural standard onto a general market. Alienates diverse segment,caps growth,
create self-growth market barriers.

The Strategic Pivot

Seeing the market : Intelligence & Definition
Embedded HUC representation directly into market research, segmentation and growth goals.

Serving the market : Product & utility
Redesigning products, packaging and mass customisation to actively solve the unique physical or commercial needs of under recognised customers.

Being in the market : Experience & Advocacy
Shaping how the brand shows up via culturally fluent customer experiences, inclusive, communication and corporate advocacy.

INCLUSION PARADIGM

Expanding brand relevance for a diversity of people. Customers find their own standard within the brand driving immense loyalty and untapping new revenue streams.



THE
EXCLUSIVITY PARADIGM

EXAMPLE: VICTORIA'S SECRET (2000S)

- Relied heavily on a narrow Western beauty ideal
  - Thin
  - White
  - Hypersexualized imagery
- Assumed one cultural standard was more efficient for branding
- **CONSEQUENCES**:
  - Alienated large consumer segments
  - Reinforced invisibility of underrepresented communities
  - Created overrepresentation of already dominant groups





THE
INCLUSION PARADIGM

EXAMPLE: SAVAGE X FENTY

- BUILT AROUND REPRESENTATION ACROSS:
  - Race
  - Body size
  - Gender expression
- Achieved annual growth rates near **150%.**
- Forced competitors like Victoria's Secret to pivot toward inclusivity.

EXAMPLE: SEPHORA

- RESEARCH SHOWED
  - 3 in 5 BIPOC customers felt unwelcome in beauty retail spaces.
  - 60% would not return after feeling excluded.
- IN RESPONSE
  - Developed inclusion training programs
  - Increased hiring of BIPOC staff
  - Pledged 15% of shelf space/products to Black-owned businesses
  - Expanded accelerator programs
  - Created diversity standards for marketing and communications

AI - ENDING WESTERN CENTRIC AND TRADITIONAL BEAUTY STANDARDS TO REPRESENT THE REAL POOL OF CONSUMERS



WHY ?

- AI helps identify underserved segments = tapping in blue oceans = 1st mover advantage
- Attractive to Gen Z + Millennials: pressure for corporate social responsibility + promoters/ brand advocate or negative word of mouths
- Democratizing industries access + e-commerce (screen readers, real-time captioning, voice recognition, etc.) = cater to larger audiences

HOW?

- Training LLM models with large data: social media sentiment, customer reviews, returns, images, clothes fit = customer centric approach
- Reducing costs/ market research / returns (3D body modelling to assess design fit + virtual try on for customer)

LIMITATIONS?

- Risk of perpetuating unrealistic beauty standards and cultural stereotypes if AI models are trained on flawed data based on human biases
- Ethical concerns (usage transparency = credibility + trust).
- Who has image right on the AI model generated (no regulations yet)

A RELATABLE FASHION INDUSTRY



- **Tommy Hilfiger 1st global brand to launch adaptive wear lines** (one-handed zippers, magnetic buttons, adjusted leg openings, adapting to prosthetics, etc.) = ending the one-size fits all approach in fashion –first to cater to underrepresented segment.

- **Innovation = (Lalaland AI)** AI models to change size, skin tone, age, gender, disability, neurodiversity to assess design fit = informed purchase decision (increasing satisfaction + repeated purchase)

- **Brands = larger reach and resonance** with diversified customer base + forecast loyalty + adapt quickly to market dynamics and customer demand.

CONCLUSION

WESTERN IS OUT

THE BRANDS THAT TREAT HUC'S AS A GENUINE MARKET OPPORTUNITY, RATHER THAN AN AFTERTHOUGHT, ARE THE ONES CREATING LASTING COMPETITIVE ADVANTAGE.



TO BE AN INCLUSIVE BRAND IT HAS TO BE WELL THOUGHT OUT AND **INTENTIONAL IN EVERY ASPECT**, SUCH AS HOW THEY:

- **See the Market**
- **Serve It**
- **Show up in it**

THE EVIDENCE IS CLEAR WITH HOW BRANDS EMBED REPRESENTATION INTO **RESEARCH**, **PRODUCT DESIGN** AND **CUSTOMER EXPERIENCE** TO CONSISTENTLY UNLOCK NEW REVENUE STREAMS AND DEEPEN CONSUMER LOYALTY.

- **Delta**
- **Bevel**
- **Sephora**

Thank you!

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